EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Abulug lies along the northwestern part of the Province of Cagayan. Tulug, the original name of Abulug had been a flourishing fishing village long before Don Juan Salcedo sailed to the mouth of Abulug River in 1572. In 1969, the name "Tulug" was changed into Abulug, including two barangays of Fotol and Capinatan. Abulug has a total land area of 19,969 hectares or 199.69 square meters representing 2.22% of the total area of the province.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Abulug for CY 2025 and was aimed at determining whether Management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective, and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments, and obligations of the Municipality of Abulug, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase (Decrease)
Financial Position			
Assets	863,312,564.59	685,692,766.17	177,619,798.42
Liabilities	175,849,871.31	193,911,506.45	(18,061,635.14)
Government Equity	687,462,693.28	491,781,259.72	195,681,433.56
Financial Performance			
Income	235,214,818.90	196,960,688.39	38,254,130.51
Expense	207,388,786.09	179,307,711.01	28,081,075.08
Net Income	27,826,032.81	17,652,977.38	10,173,055.43
Appropriations, Allotments and Obligations			
Appropriations	309,200,340.03	205,333,081.87	103,867,258.16
Allotments	291,183,256.26	190,502,510.33	100,680,745.93
Obligations	274,472,956.35	178,935,924.38	95,537,031.97

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Rice Processing Center III Electrification	₱3,621,291.79
Multi-Purpose Building Solar Power & lightning System	4,989,995.96
LBP Loan Amortization for Land Acquisition for Development Facilities MOOE	3,574,966.60
Land Acquisition for Proposed Municipal Public Market/	5,000,000.00
Completion of Municipal Slaughterhouse	2,436,266.63
Partial Completion of Community Based Swine Clustering Project	2,919,113.71
Completion of Community Based Swine Clustering Project	3,988,250.10
Construction of Drainage Canal along Langay Road	499,479.76
Supply, Delivery and Installation of Solar Powered	354,303.80
Rehabilitation of MPB ROOFING (Brgy. Alinunu)	298,284.62
Rehabilitation of MPB ROOFING (Brgy. Bagu)	299,907.56
Rehabilitation of MPB ROOFING (Brgy. Banguian)	298,912.43
Road Concreting Continuation (Brgy. Calog Norte)	299,380.11
Road Concreting (Brgy. Calog Sur)	299,488.43
Installation of Solar Street Lights (Brgy. Centro)	297,566.92
Installation of Solar Street Lights (Brgy. Guiddam)	297,566.92
Road Concreting (Purok Saniata, Brgy. Libertad)	299.399.93
Road Concreting (Sitio Maquire, Brgy. Lucban)	299,266.24
Roofing of MPB Stage (Brgy. San Agustin)	299,836.69
Road Concreting-Purok 3	299,691.42
Construction of Multi-Purpose Building @ Sawang, Brgy. Siguiran)	298,773.56
Construction of Multi-Purpose Drying Pavement (Brgy. Simayung)	298,924.36
Road Concreting (Zone 1&2, Brgy. Sirit)	299,667.22
Rehabilitation of MPB Roofing (Brgy. Sta. Filomena)	295,757.83
Rehabilitation of MPB Roofing (Brgy. Sta Rosa)	299,969.58
Installation of Solar Street Lights (Brgy. Sto. Tomas)	297,566.92
Total	**₱32,463,629.09**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Abulug, Cagayan for the year-ended December 31, 2025 because the accuracy of the reported balance of the Property, Plant and Equipment (PPE) account amounting to ₱616,860,989.20 as at December 31, 2025 is doubtful due to: (a) incomplete inventory report of PPE; (b) non-maintenance of Property Cards for PPE; and (c) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular No. 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for Local Government Units, Volume I, thus, affecting the fair presentation of the Municipality's financial statements.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Inter-agency Receivables under the Due from Local Government Units (LGUs) account amounting to ₱19,645.56 and Other Receivables amounting to ₱479,743.85 remain dormant for more than ten (10) years due to non-compliance with the guidelines and procedures on the proper disposition, and write-off of dormant accounts as prescribed in COA Circular No. 2016-005 dated December 19, 2016, as amended by COA Circular No. 2023-008 dated August 17, 2023, thus, affecting the accuracy and reliability of the Financial Statements.

   We have recommended that Management take the following actions:

   a. Instruct the Municipal Accountant to regularly verify, analyze, and validate receivables to confirm their accuracy and existence;

   b. For dormant accounts with missing records or documents, investigate and identify the reasons for the loss and to identify the officials or employees responsible; and

   c. Initiate the request for the write-off of dormant accounts and ensure compliance with the guidelines and procedures on proper disposition and derecognition of such accounts, as outlined in COA Circular No. 2023-008.

2. Excess balances of fund transfers from National Government Agencies (NGAs) and LGUs totaling to ₱584,744.10 were not returned to the Source Agencies (SAs) despite the completion of the funds' purpose, and fund transfers totaling to ₱4,038,139.05 remained unimplemented/ unutilized as at December 31, 2025, contrary to Item 6.7 of COA Circular No. 94-013 dated December 13, 1994, thus, depriving its constituents the economic benefit that they could have been derived therefrom.

We have recommended that the Management:

a. Prepare the corresponding liquidation documents to be submitted to the SA and return the unutilized balances of the fund in accordance with the above regulation, thus, reducing the liability of the Municipality; and

b. Timely implement the programs or projects funded by the National Government and other LGUs to maximize the use of government resources and prompt delivery of the desired socio-economic benefits to its constituents.

3. The non-accrual of the accumulated earned and unused leave credits of permanent, casual and elective government personnel as at December 31, 2025 resulted in the understatement of Leave Benefits Payable and Terminal Leave Benefits, and the overstatement of Government Equity, contrary to IPSAS 1, IPSAS 39 and COA Circular No. 2024-009 dated July 16, 2024, thereby, affecting the fair presentation of the Financial Statements.

   We have recommended that the Management undertake the following:

   a. The Human Resources Management Officer-Designate to submit to the Municipal Accountant a year-end report of the earned and unused leave credits of all permanent, casual and elective government personnel of the Municipality;

   b. The Municipal Budget Officer to provide for the inclusion, in the Municipality's Annual Budget of the amounts necessary to cover the payment of earned and unused leave credits of all permanent, casual, and elective government employees, and to ensure the proper authorization and appropriation thereof; and

   c. The Municipal Accountant to recognize and accrue, at year-end, the earned and unused leave credits based on the report submitted by the HRMO to ensure that the Leave Benefits Payable and Government Equity accounts are fairly stated and that leave benefits transactions are recorded in the proper accounting period, in accordance with COA Circular No. 2015-009 dated December 1, 2015.

4. The Municipality was able to implement 32 out of 36 infrastructure projects programmed under the 20% Development Fund, in which 31 projects were completed and 1 is on-going as at year-end. This is a reflection of a strong commitment of the Municipality to bring the benefits of socio-economic development to its constituents.

   We have recommended that the Management continue the implementation of the projects funded under the 20% Development Fund and show their commitment in serving the constituents of the Municipality. Further, to ensure timely

implementation and completion of development projects, we strongly suggested that the Management coordinate with the Municipal Planning Development Coordination and Municipal Engineer to carefully plan and schedule each project's implementation. This will pave the way for a more efficient execution of these initiatives.

G. Summary of Total Suspensions, Disallowances, and Charges as at December 31, 2025

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	4,784,568.17	**-**	2,949,000.00	1,835,568.17	61.64%
Current Year	-	**-**	**-**	-	-
Total	4,784,568.17	**-**	2,949,000.00	1,835,568.17	61.64%
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of twenty-seven (27) audit recommendations embodied in the CY 2024 Annual Audit Report, thirteen (13) were fully implemented, and fourteen (14) were not implemented.